

Xiaomi (1810)

Stock and earnings likely to trough in 3Q, but catalysts remain elusive; Neutral

Xiaomi's 2Q26 earnings came in-line with expectations, with smartphone margins holding up better, while EV momentum and margins remained under pressure. We believe that 3Q26 could be the near-term trough for earnings (and potentially the stock), given the hit from memory prices is likely to be the highest, and EV momentum is likely to be sluggish before SkyNomad sales commencement in September. That said, catalysts for strong YoY earnings acceleration are still elusive, with smartphone margins likely to hover around 9% levels, unless memory price increases flatten out, and domestic EV market continues to remain under pressure, putting downward pressure on EV shipment expectations (2026E likely to be ~450K units, in our view). We believe that the stock is not far from trough levels (10-15x PE), but we remain Neutral given that further cuts to street EPS estimates are likely, and the lack of clear catalysts in the next two quarters. New initiatives such as LLMs (where Xiaomi has had leadership in OpenRouter token consumption) and robotics (with the launch of its Robotics-1 Foundation model) are interesting but both of these are not likely to be meaningful revenue drivers in the next 12-18 months. Key watchpoints to turn more positive on the stock are (1) stronger SkyNomad EREV shipment trends from September, (2) more clarity on overseas EV plans, and (3) strong acceleration in overseas IoT business. Key downside remains continued increase in memory prices into 2027, which could lead to further pressure in smartphone business dynamics.

- Smartphone shipments remain under pressure, but 9% GMs now appear defensible:** We expect Xiaomi's smartphone shipments to stay under pressure in 2H26, with demand continuing to be weighed down by smartphone ASP increases due to memory price hikes especially in the low-mid end segment. Overall, we forecast Xiaomi's smartphone shipments at 123mn units in 2026 (down 26% YoY). On margins, despite rising costs (particularly memory) and shrinking unit scale, Xiaomi reported 1H26 smartphone GM of ~9%, tracking ahead of its initial FY26 target of 8%. The outperformance is driven by a better product mix (high end demand proving more resilient than mid-to-low-end) and higher ASPs passing on the rising cost (ASP up 26% YoY in 2Q26). We now believe 9% appears to be a defensible GM level for 2026 (JPMe Xiaomi 2026 smartphone GM at 9.03%).
- EV momentum in 2H26 unclear; 450k EV shipments more likely in FY26:** While Xiaomi introduced its new SkyNomad platform in July with decent initial feedback and is targeting to deliver the new EREV SUV in September, the overall China domestic EV market appears to remain under pressure ahead of the SkyNomad sales commencement. We therefore revise our EV shipment forecast to 450k, below the company's original 550k target. Meanwhile, margins for the EV and new business segment appear to be under pressure, falling below management's 20%

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Neutral

1810.HK, 1810 HK

Price (18 Aug 26): HK\$26.18

▲ **Price Target (Jun-27): HK\$32.00**
Prior (Jun-27): HK\$31.00

China

Technology

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	0.97	0.95	-2.1%
Adj. EPS - 27E (Rmb)	1.18	1.14	-3.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1	0.41	0.23A	0.24
Q2	0.41	0.23A	0.27
Q3	0.42	0.21	0.31
Q4	0.23	0.27	0.31
FY	1.47	0.95	1.14

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	65	50	72	53	57
Growth	16	4	5	79	53
Momentum	92	87	2	42	20
Quality	45	46	54	84	50
Low Vol	68	67	70	76	72
ESGQ	16	4	18	26	25

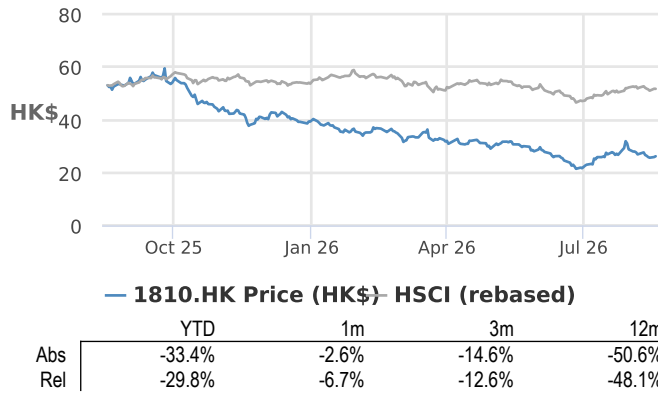
See page 13 for analyst certification and important disclosures, including non-US analyst disclosures.

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GM target, weighed down by rising costs, an unfavorable mix, and increasing AI/LLM investment. The next catalyst would be a recovery in the China EV market or a significant pick-up in monthly EV shipments, particularly from new models. In the medium term, overseas EV expansion (first markets in 2H27) should provide the next leg up for revenue and shipment growth.

- **IoT remains challenging in China, while overseas momentum is picking up:** With rising memory prices and fading effect of government consumption subsidies, the China consumer market has been weak since late 2025. We have not seen a rebound in 2Q and expect China domestic CE demand to remain relatively muted in 2H26. However, overseas IoT is showing improving momentum as Xiaomi accelerates store expansion and is bringing more categories of products to overseas markets (especially large appliances). All in all, we expect IoT revenue to decline 7% in 2026, followed by a flat 2027, with a relatively stable margin at ~22%
- **New areas such as LLM and robotics remain too small to contribute meaningfully to an earnings recovery:** Xiaomi noted that its MiMo V2.5 ranked as the No.1 model by weekly token usage on the OpenRouter platform, and that its new robot foundation model, Xiaomi Robotics-1, released in July, topped the RoboCasa365 ranking. While these initiatives are interesting, we believe meaningful scale and monetization will take longer to materialize. Revenue from these areas remains quite small (low single digit % of overall EV and new business segment in 2Q26), and we do not see them becoming a meaningful earnings driver over the next 12–18 months.
- **Stock and earnings are close to trough levels, but catalysts remain elusive:** We believe that Xiaomi's earnings are likely to trough in 3Q26 as memory price pressure is likely to be seeing the most impact in 3Q26, while EV momentum should improve from 4Q26. The stock is also not far from prior trough levels (HK\$24-26 or 10-15x PE), and we don't see too much downside. However, upside catalysts continue to remain elusive - EV momentum is likely to show only a slow improvement due to sluggish China EV demand, while smartphone margins are likely still limited by memory cost increases. We may have to wait for overseas EV expansion (in 2H27) or a stabilization in memory prices to see a strong YoY acceleration in EPS growth.

Price Performance



Company Data

Shares O/S (mn)	25,509
52-week range (HK\$)	59.90-21.30
Market cap (\$ mn)	85,138
Exchange rate	7.84
Free float (%)	79.5%
3M ADV (mn)	188.48
3M ADV (\$ mn)	640.4
Volatility (90 Day)	46
Index	HSCI
BBG ANR (Buy Hold Sell)	38 5 3

Key Metrics (FYE Dec)

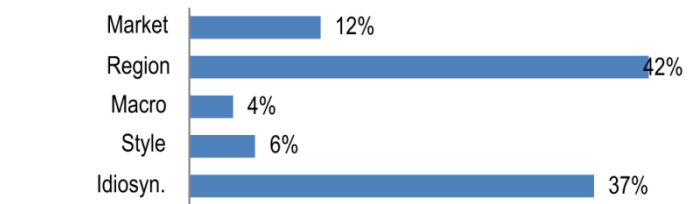
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	457,287	434,781	497,668	550,536
Adj. EBIT	34,171	17,711	29,925	37,764
Adj. EBITDA	42,928	28,472	43,018	51,913
Adj. net income	39,089	25,060	30,266	37,152
Adj. EPS	1.47	0.95	1.14	1.40
BBG EPS	1.52	1.08	1.40	1.82
Cashflow from operations	40,938	35,116	49,659	44,186
FCFF	39,638	31,391	46,459	40,986
Margins and Growth				
Revenue Growth Y/Y (%)	25.0%	(4.9%)	14.5%	10.6%
EBIT margin	7.5%	4.1%	6.0%	6.9%
EBIT Growth Y/Y (%)	35.4%	(48.2%)	69.0%	26.2%
EBITDA margin	9.4%	6.5%	8.6%	9.4%
EBITDA Growth Y/Y (%)	36.0%	(33.7%)	51.1%	20.7%
Net margin	8.5%	5.8%	6.1%	6.7%
Adj. EPS growth	37.1%	(35.7%)	20.7%	22.8%
Ratios				
Adj. tax rate	17.1%	16.6%	11.9%	11.9%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	17.2%	9.3%	10.5%	11.5%
Valuation				
FCFF yield	6.6%	5.3%	7.8%	6.9%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	1.2	1.2	1.0	0.9
EV/EBITDA	12.3	17.6	11.2	9.1
Adj. P/E	15.3	23.8	19.7	16.1

Summary Investment Thesis and Valuation

We remain Neutral on Xiaomi, given further cuts to street EPS estimates are likely, and the lack of clear catalysts in the next two quarters. We believe that 3Q26 could be the near-term trough for earnings and potentially the stock, given the hit from memory prices is likely to be the highest, and EV momentum is likely to be sluggish before SkyNomad sales start in September. That said, catalysts for strong YoY earnings acceleration are still elusive, with smartphone margins likely to hover around 9% levels and the domestic EV market continues to remain under pressure (2026E likely to be ~450K units, in our view). New initiatives such as LLMs and robotics are interesting but both of these are not likely to be meaningful revenue drivers in the next 12-18 months.

Our Jun-27 PT of HK\$32 is based on SOTP, with 11x ex-cash 12M fwd earnings for the core business and 1.1x 12M fwd P/S for the EV and new business.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.26	0.35
Region: China	0.77	0.70
Macro:		
US 10 Year Yield	0.31	0.28
HSI Volatility Index	-0.17	-0.27
Generic 1st 'CO' Future	-0.18	-0.16
Quant Styles:		
Momentum	-0.68	-0.44
Size	-0.64	-0.39
Value	0.53	0.31

Table 1: Xiaomi SoTP Analysis

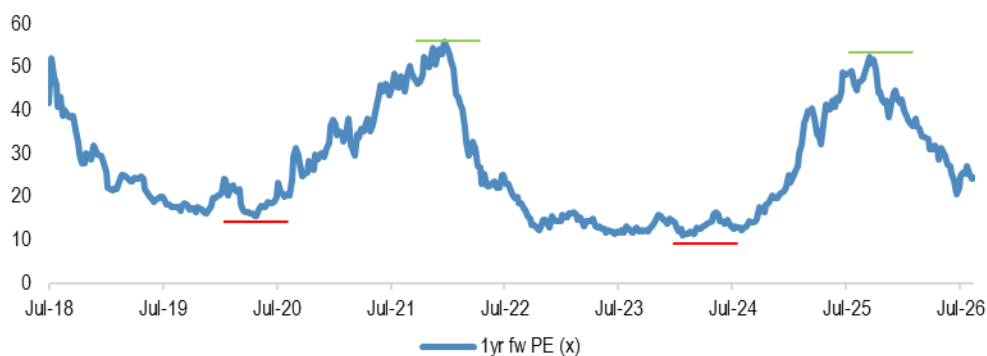
(RMB \$mn, x)

Xiaomi SoTP Analysis	RMB\$mn, x
Core business (Hardware + Internet Service)	
12M core earnings (non GAAP)	31,950
Ex-cash P/E multiple	11x
Xiaomi core value	351,449
EV and new business	
12M EV and new business revenue	172,466
Price to Sales multiple	1.1x
Xiaomi EV and new business value	189,713
Cash and cash equivalent	198,397
Total equity value	739,559
Outstanding shares (mn)	26,509
FX (HKD/RMB)	0.86
Derived value per share (HK\$)	32

Source: J.P. Morgan estimates.

Figure 1: Xiaomi: Valuation PE trough-to-peak trend

(x)



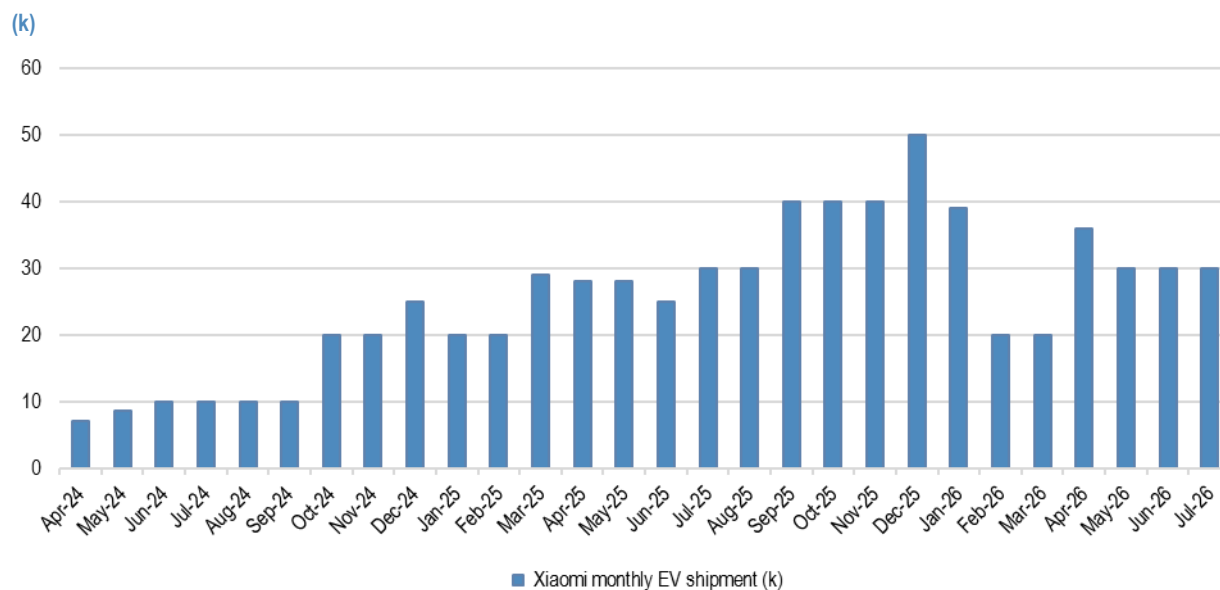
Source: Bloomberg Finance L.P. data, J.P. Morgan estimates, as of 18 Aug 2026.

Figure 2: Xiaomi: Valuation PB trough-to-peak trend



Source: Bloomberg Finance L.P. data, J.P. Morgan estimates, as of 18 Aug 2026.

Figure 3: Xiaomi monthly EV shipment



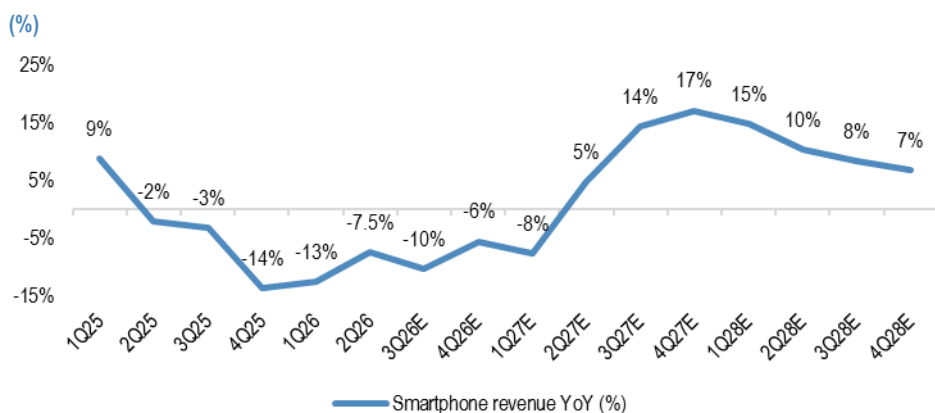
Source: Xiaomi, official announcement, Apr-24 to Jul-26

Table 2: Xiaomi EV lead time (weeks)

Xiaomi EV lead time (weeks)	4/2/2025	5/22/2025	6/24/2025	7/14/2025	8/12/2025	9/25/2025	10/2/2025	11/18/2025	12/29/2025	1/29/2026	3/24/2026	4/27/2026	5/10/2026	5/26/2026	7/7/2026	8/18/2026
SU7	46-49	41-44	38-41	38-41	38-41	35-38	35-38	28-31	22-25	NA	5-14	7-10	11-14	8-11	4-7	4-7
SU7 Pro	44-47	46-49	49-52	35-38	36-39	34-37	34-37	6-9	19-22	NA	5-14	7-10	11-14	10-13	4-7	4-7
SU7 Max	41-44	36-39	33-36	33-36	34-37	32-35	32-35	6-9	19-22	NA	5-18	7-10	11-14	10-13	4-7	4-7
SU7 Ultra	17-20	23-26	18-21	14-17	10-13	6-9	6-9	6-9	6-9	6-9	9-12	9-12	9-12	9-12	9-12	Deliver in Nov after order lock
YU7 / YU7 Long Range				57-60	56-59	51-54	45-48	35-38	35-38	14-17	7-10	7-10	7-10	6-9	6-9	4-7
YU7 Pro				49-52	47-50	42-45	42-45	34-37	32-35	14-17	9-12	9-12	9-12	Deliver in Jun-Jul after order lock	6-9	4-7
YU7 Max				40-43	42-45	36-39	36-39	32-35	28-31	28-31	11-14	4-7	4-7	6-9	6-9	4-7
YU7 Standard																
YU7 GT														Deliver in Jul-Aug after order lock	6-9	4-7

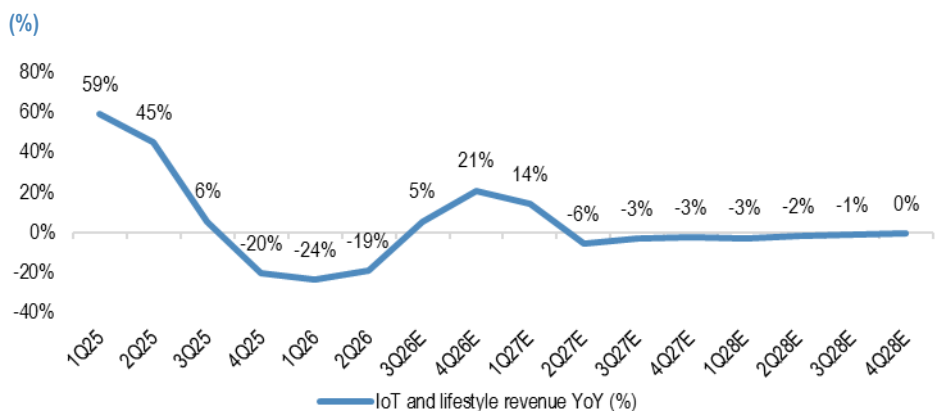
Source: Xiaomi, weekly EV lead times from smartphone application, 2 Apr 2025 to 18 Aug 2026

Figure 4: Xiaomi Smartphone revenue YoY



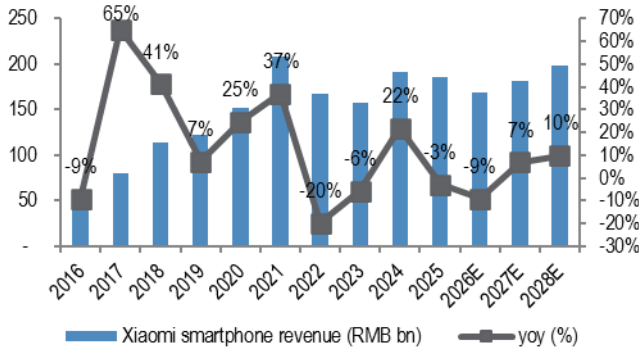
Source: Xiaomi (annual reports & quarterly report 2Q26), J.P. Morgan estimates

Figure 5: Xiaomi IoT and lifestyle YoY



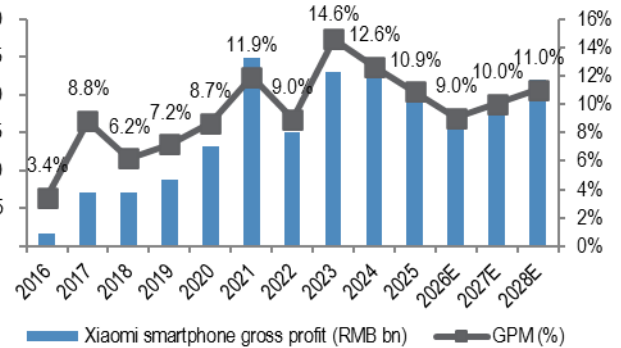
Source: Xiaomi (annual reports & quarterly report 2Q26), J.P. Morgan estimates

Figure 6: Xiaomi smartphone revenue and yoy growth



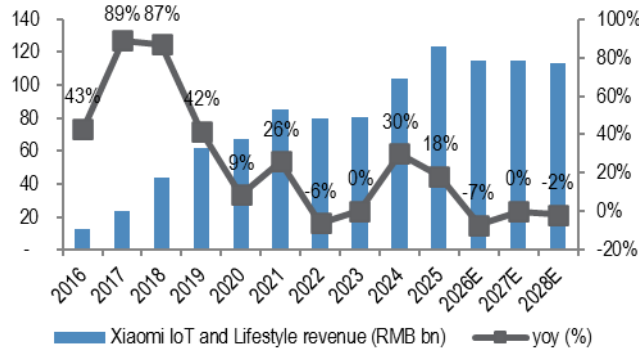
Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 7: Xiaomi smartphone gross profits and GPM



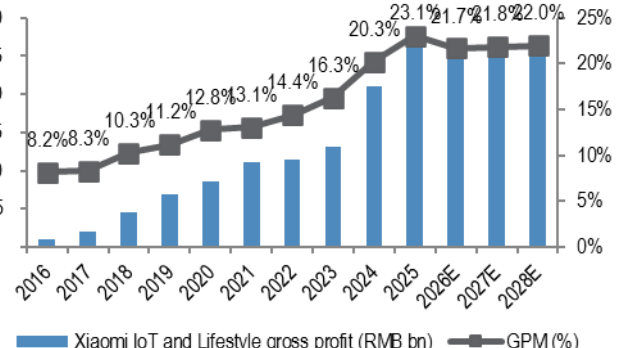
Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 8: Xiaomi IoT and Lifestyle revenue and yoy growth



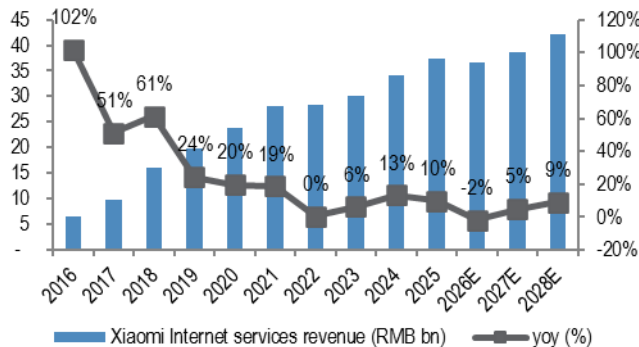
Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 9: Xiaomi IoT and Lifestyle gross profits and GPM



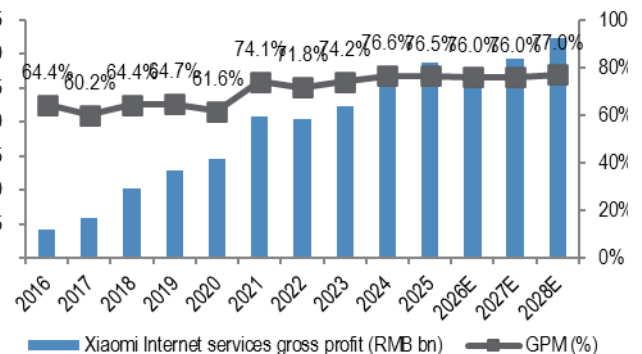
Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 10: Xiaomi Internet service revenue and yoy growth



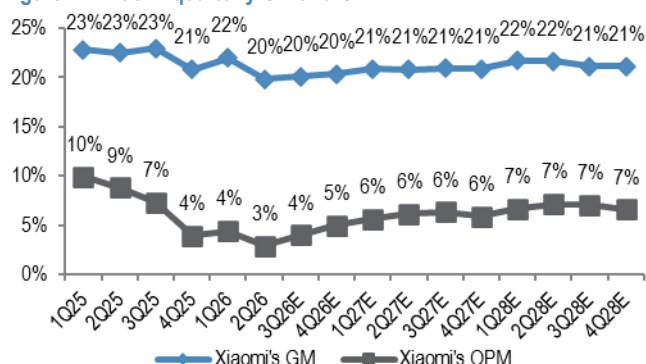
Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 11: Xiaomi Internet service gross profit and GPM



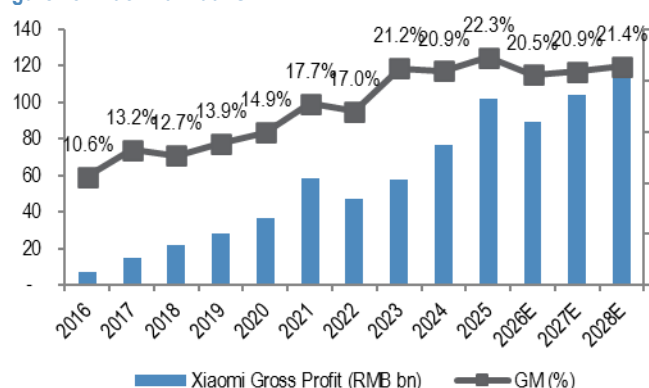
Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 12: Xiaomi quarterly GM and OPM



Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Figure 13: Xiaomi annual GM



Source: Xiaomi (annual reports, 2015-2024 & quarterly report 2Q26), J.P. Morgan estimates.

Earnings review

Table 3: Xiaomi 2Q26 earnings review

RMB in millions, %, RMB	2Q26			Variance		Growth	
	Actual	JPM e	BBG est	vs. JPM e	vs. BBG	Q/Q	Y/Y
Revenue	108,922	106,921	108,325	2%	1%	10%	-6%
Gross Profit	21,609	21,394	22,102	1%	-2%	-1%	-17%
GM	19.8%	20.0%	20.4%	-17 bps	-56 bps	-216 bps	-267 bps
Reported Operating Profit*	2,247	2,237	5,853	0%	-62%	-24%	-75%
Reported OPM	2.1%	2.1%	5.4%	-3 bps	-334 bps	-91 bps	-564 bps
Reported Net Profit	9,463	4,557	5,765	108%	64%	100%	-20%
Reported EPS	0.36	0.17	0.22	108%	64%	100%	-20%
Adjusted Net Profit	6,219	5,968	6,314	4%	-1%	2%	-43%
Adjusted EPS	0.23	0.23	0.24	4%	-1%	2%	-42%
Smartphone revenue	42,119	41,636	n.a.	1%	n.a.	-5%	-7%
IoT and lifestyle revenue	31,278	30,215	n.a.	4%	n.a.	27%	-19%
Internet services revenue	9,044	8,947	n.a.	1%	n.a.	-4%	-1%
EV shipments (000s)	104.2	104.0	n.a.	0%	n.a.	29%	28%
EV revenue	24,896	25,269	n.a.	-1%	n.a.	25%	17%
Smartphone GM %	8.5%	8.1%	n.a.	40 bps	n.a.	-161 bps	-297 bps
IoT and lifestyle GM %	20.1%	20.5%	n.a.	-40 bps	n.a.	-508 bps	-243 bps
Internet services GM %	76.8%	75.5%	n.a.	130 bps	n.a.	69 bps	144 bps
EV GM%	19.2%	20.4%	n.a.	-120 bps	n.a.	-91 bps	-723 bps

Source: J.P. Morgan estimates, Xiaomi 2Q26 Quarterly Report, Bloomberg Finance L.P as of 18 Aug 2026. Note: Reported Operating Profit = Gross Profit – Selling – Admin – R&D expenses

Estimate revisions

Table 4: Xiaomi Quarterly and Annual earnings estimate revisions

Earnings revision Table RMB Mn, %	Current					Prior					% change				
	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E
Core P&L															
Revenue	80,939	82,352	326,594	341,478	361,794	82,455	83,630	327,015	346,253	366,339	-2%	-2%	0%	-1%	-1%
Gross Profit	16,428	16,984	68,045	72,580	79,153	16,332	17,032	67,420	72,958	78,147	1%	0%	1%	-1%	1%
Gross Margins (%)	20.3%	20.6%	20.8%	21.3%	21.9%	19.8%	20.4%	20.6%	21.1%	21.3%	49 bps	26 bps	22 bps	18 bps	55 bps
Adjusted OP Profit	5,825	6,814	25,294	33,539	38,997	5,860	6,871	25,493	33,552	38,292	-1%	-1%	-1%	0%	2%
Adjusted Net Profit	7,117	8,109	32,643	33,880	38,386	7,183	8,214	32,168	33,332	37,752	-1%	-1%	1%	2%	2%
EV and new busines P&L															
Revenue	26,376	37,051	108,187	156,190	188,742	28,252	40,456	113,842	160,466	193,912	-7%	-8%	-5%	-3%	-3%
Gross Profit	5,143	7,336	21,265	31,238	38,575	5,650	8,091	22,890	32,800	39,632	-9%	-9%	-7%	-5%	-3%
Gross Margins (%)	19.5%	19.8%	19.7%	20.0%	20.4%	20.0%	20.0%	20.1%	20.4%	20.4%	-50 bps	-20 bps	-45 bps	-44 bps	0 bps
Adjusted OP Profit	(1,556)	(889)	(7,583)	(3,614)	(1,234)	(961)	(890)	(6,605)	(2,108)	(1,267)	nm	nm	nm	nm	nm
Adjusted Net Profit	(1,556)	(889)	(7,583)	(3,614)	(1,234)	(961)	(890)	(6,605)	(2,108)	(1,267)	nm	nm	nm	nm	nm
Xiaomi group Adjusted Net Profit	5,561	7,220	25,060	30,266	37,152	6,222	7,324	25,563	31,224	36,485	-11%	-1%	-2%	-3%	2%
Xiaomi group Adjusted EPS (RMB)	0.21	0.27	0.95	1.14	1.40	0.24	0.28	0.97	1.18	1.38	-11%	-2%	-2%	-3%	2%
Key OP metrics															
Smartphone Shipments (Mn)	29.2	28.8	123.0	121.5	136.3	30.5	29.9	125.4	126.1	141.3	-4%	-4%	-2%	-4%	-4%
Smartphone GMs (%)	8.6%	8.8%	9.0%	10.0%	11.0%	7.8%	8.5%	8.7%	9.9%	10.5%	80 bps	30 bps	38 bps	12 bps	50 bps
EV shipments (000s)	110	155	450	650	755	115	165	465	650	755	-4%	-6%	-3%	0%	0%
EV Revenues	25,224	35,899	104,028	151,123	182,653	27,172	39,376	109,889	155,715	188,203	-7%	-9%	-5%	-3%	-3%

Source: J.P. Morgan estimates.

Table 5: Xiaomi: JPM Earnings estimate vs. consensus estimate

RMB Mn, %, RMB	JPM					Consensus					% difference				
	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E
Revenue	107,316	119,402	434,781	497,668	550,536	115,873	128,152	459,059	538,617	627,337	-7%	-7%	-5%	-8%	-12%
Gross Profit	21,571	24,321	89,311	103,818	117,728	24,049	26,690	96,462	115,178	137,870	-10%	-9%	-7%	-10%	-15%
Gross Margins (%)	20.1%	20.4%	20.5%	20.9%	21.4%	20.8%	20.8%	21.0%	21.4%	22.0%	-65 bps	-46 bps	-47 bps	-52 bps	-59 bps
Reported OP Profit	3,358	5,014	13,569	26,284	34,122	6,738	7,577	25,838	37,726	50,757	-50%	-34%	-47%	-30%	-33%
OP Margins (%)	3.1%	4.2%	3.1%	5.3%	6.2%	5.8%	5.9%	5.6%	7.0%	8.1%	-269 bps	-171 bps	-251 bps	-172 bps	-189 bps
Adjusted Net Profit	5,561	7,220	25,060	30,266	37,152	6,978	7,628	27,177	36,607	47,812	-20%	-5%	-8%	-17%	-22%
Adjusted EPS (RMB)	0.21	0.27	0.95	1.14	1.40	0.26	0.29	1.03	1.38	1.80	-20%	-5%	-8%	-17%	-22%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates, as of 18 Aug 2026

Table 6: Xiaomi Earnings Model

RMB billion, year-end Dec	2025				2026E				2027E				2028E				2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	111.3	116.0	113.1	116.9	99.1	108.9	107.3	119.4	112.1	121.7	127.9	136.0	127.0	132.1	141.7	149.7	457.3	434.8	497.7	550.5
COGS	85.9	89.9	87.2	92.6	77.3	87.3	85.7	95.1	88.7	96.3	101.1	107.6	99.4	103.5	111.7	118.1	355.5	345.5	393.9	432.8
Gross profit	25.4	26.1	25.9	24.4	21.8	21.6	21.6	24.3	23.4	25.3	26.8	28.3	27.6	28.6	30.0	31.6	101.8	89.3	103.8	117.7
Operating expense	14.3	15.9	17.6	19.7	17.5	18.5	17.3	18.4	17.1	17.9	18.7	20.3	19.1	19.1	19.9	21.8	67.6	71.6	73.9	80.0
Operating income	11.1	10.2	8.3	4.6	4.4	3.2	4.3	5.9	6.3	7.5	8.1	8.0	8.4	9.4	10.0	9.8	34.2	17.7	29.9	37.8
Pre-tax profit	13.0	13.4	14.0	6.9	7.1	8.3	6.4	8.3	7.3	8.5	9.2	9.2	9.5	10.5	11.2	11.0	47.2	30.1	34.3	42.2
Net profit	10.7	10.9	11.3	6.2	6.1	6.2	5.6	7.2	6.4	7.3	8.3	8.3	8.3	8.9	10.0	9.9	39.1	25.1	30.3	37.2
Reported Net Profit	10.9	11.9	12.3	6.4	4.7	9.5	4.7	6.3	5.5	6.4	7.4	7.4	7.4	8.0	9.1	9.0	41.5	25.1	26.6	33.5
EPS	0.41	0.41	0.42	0.23	0.23	0.23	0.21	0.27	0.24	0.27	0.31	0.31	0.31	0.34	0.38	0.37	1.47	0.95	1.14	1.40
Reported EPS	0.42	0.44	0.46	0.24	0.18	0.36	0.18	0.24	0.21	0.24	0.28	0.28	0.28	0.30	0.34	0.34	1.56	0.95	1.00	1.26
Key operating metrics																				
Smartphone shipment (mn)	41.8	42.5	43.5	37.8	33.8	31.2	29.2	28.8	27.6	29.5	31.5	33.0	31.5	33.1	35.1	36.5	165.6	123.0	121.5	136.3
Smartphone ASP (RMB)	1,211	1,071	1,057	1,173	1,310	1,350	1,412	1,454	1,483	1,497	1,496	1,488	1,489	1,472	1,455	1,435	1,126	1,378	1,491	1,462
Monthly active users (mn)	719	731	742	754	746	767	775	784	792	801	810	820	829	839	850	861	754	784	820	861
Average revenue per user (RMB)	12.6	12.4	12.6	13.1	12.7	11.8	11.7	11.7	11.8	11.9	12.0	12.1	12.2	12.4	12.5	12.6	49.6	46.9	47.0	48.9
EV shipments (000s)	76	81	109	145	81	104	110	155	135	155	170	190	165	170	200	220	411	450	650	755
Key metrics by business																				
Core revenue	92.7	94.7	84.1	79.7	79.3	84.0	80.9	82.4	80.1	84.9	86.8	89.7	86.3	90.1	91.4	94.0	351.2	326.6	341.5	361.8
Core GM (%)	22.8	21.6	22.1	20.0	22.5	20.0	20.3	20.6	21.2	21.2	21.4	21.3	22.0	21.9	21.8	21.8	21.7	20.8	21.3	21.9
Core OPM (%)	12.4	11.1	9.1	4.5	9.4	6.8	7.6	8.6	9.4	10.0	10.8	10.4	11.1	11.3	11.3	10.8	9.5	8.1	10.2	11.1
Core net profit	11.2	11.2	10.7	5.2	9.1	8.8	7.4	8.4	7.6	8.3	9.6	9.6	9.4	9.7	10.3	10.2	38.3	33.8	35.1	39.6
EV and new biz revenue	18.6	21.3	29.0	37.2	19.9	24.9	26.4	37.1	32.0	36.7	41.1	46.3	40.7	42.0	50.3	55.7	106.1	108.2	156.2	188.7
EV and new biz GM (%)	23.2	26.4	25.5	22.7	20.1	19.2	19.5	19.8	20.0	20.0	20.0	20.0	21.0	21.0	20.0	20.0	24.3	19.7	20.0	20.4
EV and new biz OPM (%)	(2.5)	(1.6)	2.1	2.7	(15.5)	(10.4)	(7.0)	(3.2)	(3.7)	(2.8)	(3.1)	(2.8)	(2.7)	(1.7)	(0.6)	(0.5)	0.8	(8.0)	(3.1)	(1.3)
EV and new biz net profit	(0.5)	(0.3)	0.6	1.0	(3.1)	(2.6)	(1.9)	(1.2)	(1.2)	(1.0)	(1.3)	(1.3)	(1.1)	(0.7)	(0.3)	(0.3)	0.8	(8.7)	(4.8)	(2.4)
Revenue Breakdown (%)																				
Smartphone	45%	39%	41%	38%	45%	39%	38%	35%	36%	36%	37%	36%	37%	37%	36%	35%	41%	39%	36%	36%
IoT and Lifestyle	29%	33%	24%	21%	25%	29%	27%	25%	25%	24%	22%	21%	22%	22%	20%	19%	27%	26%	23%	21%
Internet Services	8%	8%	8%	8%	10%	8%	8%	8%	8%	8%	8%	7%	8%	8%	7%	7%	8%	8%	8%	8%
EV and new biz	17%	18%	26%	32%	20%	23%	25%	31%	29%	30%	32%	34%	32%	32%	36%	37%	23%	25%	31%	34%
Margins (%)																				
Gross margin	22.8	22.5	22.9	20.8	22.0	19.8	20.1	20.4	20.8	20.8	20.9	20.8	21.7	21.6	21.1	21.1	22.3	20.5	20.9	21.4
Operating margin	9.9	8.8	7.3	4.0	4.4	2.9	4.0	5.0	5.6	6.2	6.3	5.9	6.6	7.1	7.1	6.6	7.5	4.1	6.0	6.9
Net margin	9.6	9.4	10.0	5.3	6.1	5.7	5.2	6.0	5.7	6.0	6.5	6.1	6.5	6.8	7.1	6.6	8.5	5.8	6.1	6.7
Sequential Growth (%)																				
Revenue	2	4	-2	3	-15	10	-1	11	-6	9	5	6	-7	4	7	6	25	-5	14	11
Gross profit	13	3	-1	-6	-10	-1	0	13	-4	8	6	6	-3	4	5	5	33	-12	16	13
Operating income	63	-8	-19	-44	-6	-28	35	39	6	19	8	-1	5	12	6	-2	35	-48	69	26
Net profit	28	1	4	-45	-2	3	-11	30	-11	14	14	0	0	8	12	-1	43	-36	21	23
EPS	26	-2	4	-45	-1	2	-11	30	-11	14	14	0	0	8	12	-1	37	-36	21	23
Yoy Growth (%)																				
Revenue	47	30	22	7	-11	-6	-5	2	13	12	19	14	13	9	11	10				
Gross profit	51	42	37	8	-14	-17	-17	0	7	17	24	17	18	13	12	12				
Operating income	97	52	36	-32	-61	-69	-49	28	44	137	90	36	34	26	24	22				
Net profit	65	75	81	-26	-43	-43	-51	17	6	17	49	15	30	23	21	19				
EPS	61	66	71	-29	-44	-42	-50	17	5	17	49	15	30	23	21	19				

Source: J.P. Morgan estimates, Xiaomi quarterly reports from 1Q24 to 2Q26

Investment Thesis, Valuation and Risks

Xiaomi Corporation *(Neutral; Price Target: HK\$32.00)*

Investment Thesis

We remain Neutral on Xiaomi, given further cuts to street EPS estimates are likely, and the lack of clear catalysts in the next two quarters. We believe that 3Q26 could be the near-term trough for earnings and potentially the stock, given the hit from memory prices is likely to be the highest, and EV momentum is likely to be sluggish before SkyNomad sales start in September. That said, catalysts for strong YoY earnings acceleration are still elusive, with smartphone margins likely to hover around 9% levels and the domestic EV market continues to remain under pressure (2026E likely to be ~450K units, in our view). New initiatives such as LLMs and robotics are interesting but both of these are not likely to be meaningful revenue drivers in the next 12-18 months.

Valuation

Our Jun-27 PT of HK\$32 is based on SOTP, with 11x ex-cash 12M fwd earnings for the core business and 1.1x 12M fwd P/S for the EV and new business.

Risks to Rating and Price Target

Key upside risks are (1) stronger SkyNomad EREV shipment trends from September, (2) more clarity on overseas EV plans, and (3) strong acceleration in overseas IoT business.

Key downside risk remains continued increase in memory prices into 2027, which could lead to further pressure in smartphone business dynamics.

Xiaomi (1810): Summary of Financials

Income Statement - Annual						Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E	FY28E	1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	365,906	457,287	434,781	497,668	550,536	Revenue	99,142	108,922	107,316	119,402
COGS	(289,346)	(355,481)	(345,471)	(393,851)	(432,808)	COGS	(77,332)	(87,313)	(85,744)	(95,082)
Gross profit	76,560	101,806	89,311	103,818	117,728	Gross profit	21,810	21,609	21,571	24,321
SG&A	(30,991)	(39,867)	(37,821)	(36,638)	(41,855)	SG&A	(9,907)	(10,130)	(8,596)	(9,188)
Adj. EBITDA	31,557	42,928	28,472	43,018	51,913	Adj. EBITDA	6,771	5,733	7,097	8,872
D&A	(6,318)	(8,757)	(10,762)	(13,093)	(14,150)	D&A	(2,411)	(2,575)	(2,828)	(2,947)
Adj. EBIT	25,238	34,171	17,711	29,925	37,764	Adj. EBIT	4,360	3,158	4,268	5,925
Net Interest	3,624	1,746	2,037	2,108	2,494	Net Interest	416	695	422	504
Adj. PBT	31,783	47,247	30,080	34,326	42,159	Adj. PBT	7,066	8,321	6,393	8,300
Tax	(4,548)	(8,080)	(5,006)	(4,080)	(5,027)	Tax	(994)	(2,102)	(831)	(1,079)
Minority Interest	80	(77)	(14)	20	20	Minority Interest	(11)	(1)	(1)	(1)
Adj. Net Income	27,314	39,089	25,060	30,266	37,152	Adj. Net Income	6,061	6,218	5,561	7,220
Reported EPS	0.93	1.56	0.95	1.00	1.26	Reported EPS	0.18	0.36	0.18	0.24
Adj. EPS	1.07	1.47	0.95	1.14	1.40	Adj. EPS	0.23	0.23	0.21	0.27
DPS	0.00	0.00	0.00	0.00	0.00					
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%					
Shares outstanding	25,461	26,586	26,494	26,509	26,509	Shares outstanding	26,451	26,509	26,509	26,509
Balance Sheet & Cash Flow Statement						Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E	FY28E	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	75,388	82,802	113,932	137,762	153,201	Gross margin	20.9%	22.3%	20.5%	20.9%
Accounts receivable	14,589	15,240	15,441	17,585	19,363	EBITDA margin	8.6%	9.4%	6.5%	8.6%
Inventories	62,510	80,989	78,511	89,417	98,457	EBIT margin	6.9%	7.5%	4.1%	6.0%
Other current assets	73,222	75,780	64,129	73,815	82,870	Net profit margin	7.5%	8.5%	5.8%	6.1%
Current assets	225,709	254,811	272,013	318,580	353,892					
PP&E	17,974	14,018	11,060	6,689	2,978	ROE	15.5%	17.2%	9.3%	10.5%
LT investments	68,263	87,150	98,911	110,672	122,434	ROA	7.5%	8.6%	4.9%	5.5%
Other non current assets	91,209	152,117	134,896	138,761	143,828	ROCE	10.5%	10.9%	4.8%	7.9%
Total assets	403,155	508,096	516,879	574,702	623,131	SG&A/Sales	8.5%	8.7%	8.7%	7.4%
						Net debt/equity	NM	NM	NM	NM
Short term borrowings	13,327	13,202	9,706	9,706	9,706	P/E (x)	21.0	15.3	23.8	19.7
Payables	98,281	110,699	102,243	115,823	114,743	P/BV (x)	3.0	2.2	2.2	2.0
Other short term liabilities	63,777	68,504	68,230	77,708	85,564	EV/EBITDA (x)	16.8	12.3	17.6	11.2
Current liabilities	175,385	192,405	180,179	203,237	210,013	Dividend Yield	0.0%	0.0%	0.0%	0.0%
Long-term debt	17,276	22,921	31,820	36,320	40,820					
Other long term liabilities	21,289	26,446	30,412	30,412	30,412	Sales/Assets (x)	1.0	1.0	0.8	0.9
Total liabilities	213,950	241,773	242,412	269,969	281,246	Interest cover (x)	NM	NM	NM	NM
Shareholders' equity	188,738	266,219	274,348	304,614	341,766	Operating leverage	129.3%	141.7%	978.8%	476.8%
Minority interests	467	105	119	119	119					
Total liabilities & equity	403,155	508,096	516,879	574,702	623,131	Revenue y/y Growth	35.0%	25.0%	(4.9%)	14.5%
BVPS	7.41	10.01	10.35	11.49	12.89	EBITDA y/y Growth	42.1%	36.0%	(33.7%)	51.1%
y/y Growth	14.2%	35.1%	3.4%	11.0%	12.2%	Tax rate	14.3%	17.1%	16.6%	11.9%
Net debt/(cash)	(44,785)	(46,678)	(72,405)	(91,735)	(102,675)	Adj. Net Income y/y Growth	41.7%	43.1%	(35.9%)	20.8%
						EPS y/y Growth	40.7%	37.1%	(35.7%)	20.7%
Cash flow from operating activities	55,526	40,938	35,116	49,659	44,186	DPS y/y Growth	-	-	-	-
o/w Depreciation & amortization	6,318	8,757	10,762	13,093	14,150					
o/w Changes in working capital	20,581	(3,074)	939	6,321	(7,096)					
Cash flow from investing activities	(66,500)	(85,745)	5,425	(24,349)	(27,267)					
o/w Capital expenditure	(7,880)	(1,300)	(3,725)	(3,200)	(3,200)					
as % of sales	2.2%	0.3%	0.9%	0.6%	0.6%					
Cash flow from financing activities	(4,861)	52,221	(9,411)	(1,480)	(1,480)					
o/w Dividends paid	0	0	0	0	0					
o/w Net debt issued/(repaid)	2,746	5,521	5,403	4,500	4,500					
Net change in cash	(15,835)	7,414	31,130	23,830	15,439					
Adj. Free cash flow to firm	47,646	39,638	31,391	46,459	40,986					
y/y Growth	15.0%	(16.8%)	(20.8%)	48.0%	(11.8%)					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Xiaomi (1810) (1810.HK, 1810 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
30-Aug-23	N	12.38	13.5
10-Nov-23	OW	16.52	21
14-Nov-23	OW	16.22	22
21-Nov-23	OW	16.18	23
20-Mar-24	OW	14.86	21
20-May-24	OW	19.94	24
19-Nov-24	OW	28.80	34
19-Mar-25	N	57.65	60
11-Nov-25	N	42.36	50
19-Nov-25	N	40.78	45
01-Feb-26	N	35.50	38
02-Mar-26	N	34.90	35
11-Aug-26	N	27.62	31

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 08, 2018. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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